

Week ending: 24th December 2020

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **91-day** was oversubscribed recording **144%** while the **182-day and 364-day** T-bills were undersubscribed recording **25% and 44%** respectively**.** The CBK accepted KES **5.6B**, **2.4B** and **2.1B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer.

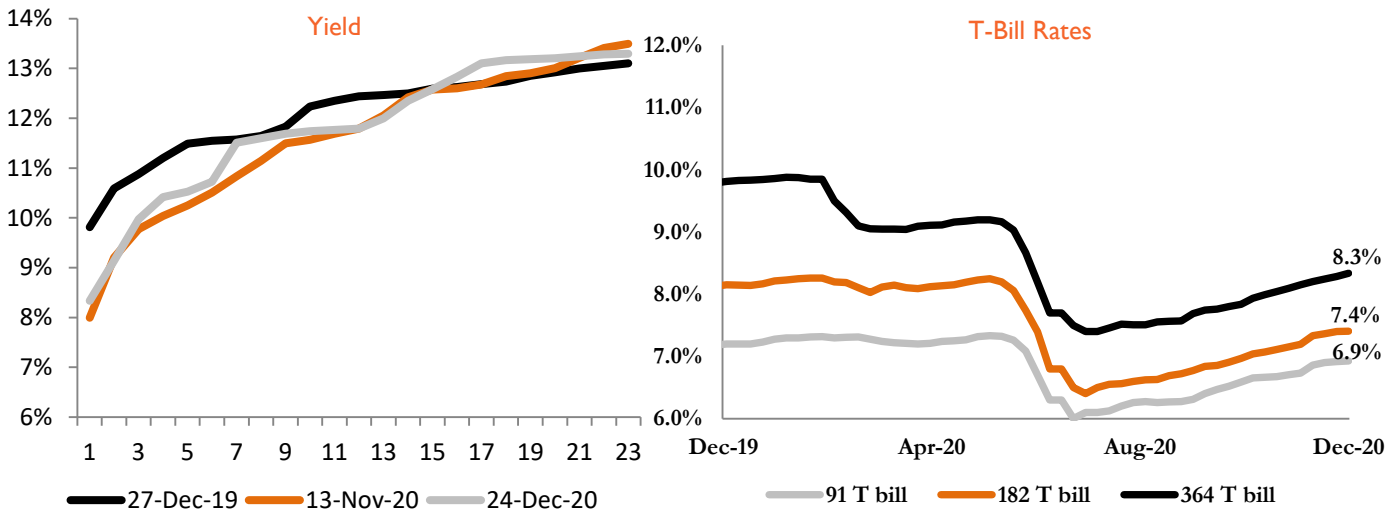
Central Bank of Kenya opened a Tap-sale on fixed Bonds **FXD1/2012/15-(6.82 years)** and **FXD2/2019/15-(13.48 years)** on a first-come-first-served basis. The CBK received total bids at cost **KES 9.9B**. The CBK accepted **KES 2.5B** at a rate of **11.46%** and **KES 7.4B** at a rate of **12.81%** for the **FXD1/2012/15** and **FXD2/2019/15** T-Bonds respectively.

Key Indicators

	Current	Previous	% Change
91- Day	6.93%	6.92%	0.14%
182-Day	7.40%	7.39%	0.05%
364-Day	8.34%	8.28%	0.72%
Interbank Rate	5.83%	5.88%	-0.85%

Macroeconomic data	Current	Previous
GDP (2Q20 vs. 2Q19)	-5.7%	5.6%
Inflation (November)	5.46%	4.84%
Private sector credit growth (August)	8.30%	7.6%
Money Supply (August)	11.01%	11.29%

Interest Rates



MACROECONOMIC NEWS

Currency

The Kenya shilling gained ground against the USD this past week appreciating by **2.49%** to stand at **108.79**.The CBK's usable forex reserves currently stands at **USD 7,788million** (**4.78** months of import cover) as at December 24th a **0.63%** decrease from **USD7,837million**(**4.81** months of import cover) as at December 17th. This meets the CBK's statutory requirement to endeavour to maintain at least 4 months of import cover.

Inflation

In November, Headline inflation stood at **5.46%** from **4.84%** in October. The CPI increased by **1.19%** from **109.06** in October to **110.91** in November. This increase occurred on the back of a rise in prices of food which outweighed the decreases. Meanwhile, the food and alcoholic beverages index increased by **1.54%** due to the increase in prices of select food items. Headline inflation is likely to increase with the rise in food prices as food products carry a significant weighting in the inflation basket. Petrol prices have also been levelling up which could also lead to an increase in headline inflation.

GDP growth

Growth receded to **-5.7%** in 2Q20 from **5.6%** in the corresponding period of 2019. While the agricultural sector grew slightly by **0.3%** to **6.4%** year-on-year, other sectors have had negative growth including manufacturing, education and accommodation that slowed down to **-3.9%, -56.2%** and **-83.3%** respectively as a result of the crisis caused by the pandemic. For more information click here.

CONTACTS:

Research Desk
Sarah Wanga
Head of Research

Linda Kiraithe
Research Analyst

Email: research@aib-axysafrica.com

Equities Dealing
Bernard Kung'u

Benard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Email: trading@aib-axysafrica.com

Bond Dealing
Crispus Otieno

Titus Marenye

Email:
trading@aib-axysafrica.com

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